

Marvell Technology, Inc.

MRVL NASDAQ

Buy

\$272.01 ▲ 1.47%

12M Price Target
\$310.00

52-Week Range
\$70.69 – \$329.88

Market Cap
\$244.46B

MRVL: AI Silicon Darling Riding CHIPS Act Tailwinds

WHAT HAPPENED

- MRVL quietly climbed another 1.5% to \$272, capping a 4-day run from \$252 to \$272 (that's an 8% move in a week with no news catalyst). When a stock drifts up on no news with declining volume, it usually means institutions are accumulating — someone big thinks earnings or a product announcement is coming.
- Options flow is screaming bullish — call buyers are outnumbering put buyers 2.3-to-1, and someone bought 3,120 contracts of \$282.50 October calls at 26x the existing open interest. That's a trader betting on a sharp move higher in the next 2-3 weeks.

WHY IT MATTERS

Here's what the tape is telling us: MRVL is sitting at 78% of its 52-week range and grinding higher on light volume, which typically means smart money is quietly building positions ahead of a catalyst — most likely their next earnings print or an AI customer win announcement. The unusual call buying at \$282.50 and \$290 strikes expiring this month suggests someone has a specific event in mind (an analyst day, a hyperscaler contract leak, or earnings pre-announcement). The bigger picture: Marvell's custom ASIC business for Amazon's Trainium chips and Microsoft's Maia is scaling fast, and every dollar hyperscalers pull from Nvidia to go custom lands partly in Marvell's lap. The market is starting to price Marvell as the "pick-and-shovel" play that benefits regardless of which AI model wins.

POLICY & POLITICAL WATCH

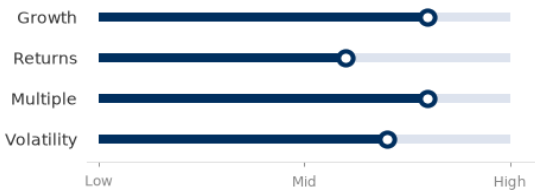
The CHIPS Act 2.0 discussions are back on the Hill, with proposed expansions of manufacturing tax credits and R&D incentives that would flow directly to fabless designers like Marvell that partner with TSMC and are building out US-based design centers. Watch the Commerce Department's updated export control rules expected this quarter — if they expand restrictions on advanced networking chips to China, Marvell loses roughly 15% of its data center revenue, but if they stay narrowly focused on GPUs, MRVL actually benefits as Chinese buyers shift to "safe" US networking silicon. The Trump administration's push for domestic AI infrastructure (via executive orders on federal AI procurement) is a quiet tailwind — federal data center buildouts need Marvell's optical interconnect and ethernet switch silicon.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$272.01
12M Price Target	\$310.00
Upside / (Downside)	+14.0%
Market Cap	\$244.46B
FY2026E Revenue	\$8,200M
FY2027E Revenue	\$10,400M
FY2026E EPS	\$2.95
FY2027E EPS	\$4.20
Fwd P/E	92.2x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$295.00	\$280.00	\$255.00
6 Months	\$340.00	\$300.00	\$240.00
1 Year	\$390.00	\$310.00	\$220.00
2 Years	\$475.00	\$360.00	\$200.00
5 Years	\$650.00	\$450.00	\$180.00
10 Years	\$900.00	\$600.00	\$150.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+1.78% over 5 days) is leading because AI capex guidance keeps getting revised higher, and the market is betting the federal AI infrastructure push accelerates in 2027. Consumer Discretionary is bouncing on rate-cut hopes.

COOLING OFF: Communication Services (-2.31% over 5 days) is lagging as ad-dependent names face scrutiny, and Materials/Real Estate are weak on tariff and rate uncertainty.

ROTATION WATCH: Money is clearly rotating INTO AI infrastructure and semiconductors as hyperscaler capex guidance for 2027 keeps surprising to the upside — that's a direct tailwind for MRVL's custom silicon and optical interconnect businesses.

RELATED PLAY: If Marvell keeps running, watch the optical component suppliers (COHR, LITE) and the testing/packaging names (ONTO, ACLS) — they're second-derivative plays on the same AI buildout and often lag the big-cap moves by weeks.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the AI gorilla — any upside guide from Nvidia on data center spend is a direct read-through to MRVL's custom silicon pipeline.
- AVGO (Broadcom): Marvell's closest custom-ASIC competitor — their Google TPU business is the template MRVL is replicating with Amazon.

MRVL CONTEXT: Marvell is leading its mid-cap semi peers but still trading at a discount to Broadcom and Nvidia on growth-adjusted multiples. That gap closes if they deliver one more clean quarter — which is probably what the options market is sniffing out.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$255-265 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Loss of Amazon/Microsoft custom silicon deals or China export ban expansion to networking chips

Hedging: Pair with small SOXS position or short an overvalued AI peer on strength